Mahindra Logistics Ltd

Concall Tracker: is there a durable earning trigger, and has management been consistent about it? · Publish quarter: Q2 FY27 (folder Q2-2027) · Latest concall read: Q2 FY27, 23 Oct 2026 · Screener ticker: MAHLOG

What the business does: Mahindra Logistics runs warehouses and moves goods for other companies without owning factories (a "3PL", third-party logistics provider). Contract logistics, meaning running warehouses and supply chains for clients, is about four-fifths of revenue. Around it sit four smaller arms: Express (part-truckload B2B parcels, the old Rivigo business, run as subsidiary MESPL), last-mile delivery, freight forwarding (Lords, the cross-border piece) and mobility (Meru / Alyte office-commute cabs). The Mahindra group is both the parent and the biggest customer.

1. Snapshot

Metric	Value and what it means
Market capitalisation	₹4,202 cr at ₹421 a share. A small/mid-cap; the stock's moved very little since last quarter's ₹416.
P/E (price ÷ per-share profit)	41.2, down from about 60 a quarter ago. The price barely moved; profit caught up. Still not cheap for a thin-margin business.
Q2 FY27 revenue (company basis)	₹2,095 cr, up 24% on last year. That's the fastest growth in years, driven by Mahindra volumes and Express.
Q2 FY27 operating profit (EBITDA)	₹124 cr, margin 5.9% vs 5.0% a year ago. EBITDA = profit before interest, tax and depreciation. Under 6 rupees of profit per 100 of sales: thin, as logistics usually is, but rising.
Q2 FY27 net profit (PAT)	₹26 cr vs a ₹10 cr loss a year ago and ₹25 cr in Q1. Fifth quarter in a row of profit, but flat on Q1.
Returns and cash	ROCE (return on capital) 12.9% for H1 vs 1.7% a year ago. Net cash ₹308 cr; free cash flow + ₹52 cr in H1 vs –₹210 cr a year earlier. The balance sheet is now clean.

2. Concall coverage

15 calls tracked, Q4 FY23 to Q2 FY27 (about 3.5 years). Only the new Q2 FY27 call was read in full this quarter; everything older is carried forward from our Q1-2027 report.

Fiscal quarter	Call date	Source	Marker
Q4 FY23 → Q4 FY26 (13 calls)	Apr 2023 → Apr 2026	Carried forward from Q1-2027 report	Old-team misses; Sikka turnaround from Q1 FY26
Q1 FY27 (prior boundary)	20 Jul 2026	Carried forward	Fourth straight quarter of rising profit
Q2 FY27	**23 Oct 2026**	Screener transcript, newly deep-read in full ★	Express turns EBITDA-positive; white-space target hit

★ Latest concall highlights: Q2 FY27 (call 23 Oct 2026)

- **Express finally broke even.** MESPL (Rivigo) posted its first EBITDA-positive quarter since the 2022 purchase: + ₹2.3 cr vs –₹9 cr a year ago, on revenue up 69% to ₹169 cr. That's the promise that slipped about five times. Next milestone named: net profit (PAT) positive, "a few months and quarter" away.
- **White-space job done.** Idle warehouse space is down to 5% of June 2025 levels, exactly the 95% cut promised for September 2026. Management says it'll stop reporting it.
- **Story shifts from cost-cutting to growth.** CEO: "moving from turnaround to acceleration." Cost levers are "mostly played out"; new-business wins are running ahead of an internal target of 3.5 times last year's. Last-mile moves from a "no-loss" to a growth strategy.
- **New spend coming.** The board approved a group-wide tech platform (amount not disclosed, execution from about Q4). Capex for the year stays at about ₹100-110 cr, half already spent.
- **Soft spots.** Freight forwarding is down 44% on last year after a leadership change; management calls H2 a "build phase" and points to FY28. Labour-cost rises (new PF wage ceiling, minimum wages) still aren't fully passed on, so the 100 bps gross-margin goal is "medium term", no date.

Business mix & capacity

- **Domestic vs export:** not broken out. Almost all of it is India-domestic; freight forwarding (about ₹51 cr this quarter, under 3% of revenue) is the only international piece. Read: a bet on India's supply chain, not exports.
- **Customer concentration:** Mahindra & Mahindra was 58% of FY26 revenue and is "broadly in the 60% zone" now. Management says there's no target to cut it; it wants all of M&M's business.
- **Capacity:** no utilisation figure given this call. Last disclosed: about 21.9 mn sq ft of warehousing and the Express network at about 80% (Q1 FY27). Idle space has now been cut by 95%. Express now needs new hubs and more pin-codes, so growth there means fresh spending.

Since our last report

Builds on the Q1-2027 report (call 20 Jul 2026). Prior verdicts: **Trigger MAYBE (improving) · Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: MAYBE	Turnaround real but levers one-time; growth from volume/pricing unproven	Revenue +24%, ROCE 12.9%, cash positive; new wins ahead of target; Express now contributing	Improving
Consistency: MAYBE	New team delivering but only ~5 quarters in; softened Express date	Delivered both open promises on time	Improving
Express EBITDA breakeven	Serial miss since FY24, no date	First positive quarter and positive for H1	Confirmed
White-space cut 95% by Sep 2026	On track, "slightly ahead"	Hit, 5% of June 2025 level left	Confirmed
Mahindra/auto reliance	~58% of revenue, cyclical	Still ~60%; weak monsoon flagged, management says full-year plan holds	Unchanged

Verdict change: trigger upgraded MAYBE → YES (growth, not just cost cuts, is now in the numbers, and Express has turned). Consistency upgraded MAYBE → YES (this team has now delivered every dated promise it made).

3. Earning-trigger thesis

The first leg of the trigger was self-help: CEO Hemant Sikka (since April 2025) cleared debt with a rights issue, cut idle warehouse cost and dropped loss-making contracts. That took the company from 11 loss quarters to steady profit. This quarter the second leg showed up. Growth is broad (contract logistics +28%, Express +69%, mobility +33%), Express has crossed breakeven, and management says new business wins are well ahead of its own stretch target. If Express gets to net profit and contract logistics keeps growing in the high teens or better, earnings can keep compounding off a much cleaner base. It's still a thin-margin business tied to Mahindra's cycle, so this isn't a margin story. It's a volume-plus-operating-leverage story.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Contract-logistics growth	New logos, more wallet share; wins tracking above 3.5× last year	Segment revenue +28%, EBITDA ₹115 cr vs ₹89 cr	Ongoing	Strong. Showing in the numbers every quarter.	↑ now the main engine
Express (Rivigo) to PAT	EBITDA done; PAT next, "full visibility"; a "decade story"	EBITDA +₹2.3 cr vs –₹9 cr; revenue +69%	Next few quarters	Moderate. Turned, but small and will need network spend.	↑ breakeven delivered
Self-help (debt, white-space, pricing)	"Mostly played out"	Debt-free standalone, white-space hit, net cash ₹308 cr	Done	Strong but finished. Won't add more from here.	unchanged, now complete
Gross-margin +100 bps	Medium term, no timeline	Gross margin 10.1%, flat on the year; labour costs not passed on	Medium term	Weak/unproven. Vague target.	unchanged
Last-mile / freight forwarding	LMD pivots to growth; freight is a FY28 story	LMD profitable but revenue –23%; freight –44%	FY28	Unproven	new framing

4. Management-consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
FY24-FY25 · Express breakeven (old team)	"By Q3 FY24" → "H1 FY25" → "mid-Q4 FY25" → "2 quarters away"	Goalpost moved about five times under the previous CEO	Missed
FY24 · ₹10,000 cr revenue by FY26	Investor-deck vision	Quietly dropped; FY26 came in around ₹7,000 cr gross	Dropped
FY23-25 · Mobility and subsidiaries to profit	Turn PAT-positive	Done and held	Delivered
FY26 · Become debt-free (Sikka)	Rights issue to repay loans	Standalone debt-free since Sep 2025; only ₹55 cr vehicle loans left	Delivered
FY26 · Return to profit	Structural turnaround	Profitable every quarter since Q3 FY26	Delivered
Q1 FY26 · White-space –95% by Sep 2026	Cut idle warehouse space	Hit on time	Delivered
Q1 FY27 · Express "very close" to EBITDA positive	Breakeven soon	Positive the very next quarter	Delivered
FY27 capex ~₹100-110 cr	Disciplined spend with return hurdles	Half spent in H1, on plan	On track
Gross margin +100 bps	Medium term	Flat on the year so far; labour costs a drag	Too early

Narrative drift: the old team's story kept moving (Express dates, the ₹10,000 cr vision, "reduce Mahindra dependence"). The Sikka team set a few specific, dated targets and has hit each one. It still guards the soft ones: no timeline on margins, no number on the tech spend, and it openly reversed the old "diversify away from Mahindra" goal. That reversal was flagged a few quarters ago, so it's a stated change, not a quiet drift. Tone this call was the most confident yet, but it was also careful to frame Express as a long, spend-heavy build.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: upgraded

What moved it: last quarter the worry was that the gains were one-time cost cuts. This quarter shows growth doing the work. Revenue is up a quarter, contract logistics is compounding, Express has turned EBITDA-positive, and new-business wins are ahead of target. Return on capital has jumped and the company now generates cash. The limits are real: margins are thin and won't expand fast, about 60% of revenue depends on Mahindra's cycle, and Q2 profit was flat on Q1 with the festive-season staffing costs landing in Q3. But there's a named driver already showing up in results.

Management consistent? → YES vs last quarter: upgraded

What moved it: both promises we were watching (white-space by September and Express breakeven) were delivered on time. Add the debt clean-up and return to profit, and this team has hit everything it put a date on over six quarters. The old management's misses are history now, not a pattern. One caution: they've learned to keep the harder targets (margins, Express PAT, tech capex) undated, so the next test is whether Express reaches net profit within the "few quarters" they've now pointed to.

Sources: Screener.in financial tables; Q2 FY27 earnings-call transcript (23 Oct 2026); earlier calls carried forward from the Q1-2027 report. Revenue quoted from the call is on the company's gross basis and differs from Screener's net figures. Figures rounded. This is not investment advice. Do your own due diligence.